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Case Number: 25STCV32945 Hearing Date: July 6, 2026 Dept: 729

Superior

Court of California

County of Los Angeles

DEPARTMENT

729

TENTATIVE RULING

FREDRICK

DOUGLAS STEEN,

vs.

NATIONSTAR

MORTGAGE LLC, et al.

Case No.:

25STCV32945

Hearing Date: July 6, 2026

Defendant

Clear Recon Corp's unopposed demurrer to pro per Plaintiff

Fredrick Douglas Steen's 1st, 2nd, 3rd, 4th, 5th, 6th, 7th, 8th, 9th, 10th, 11th, 12th, and 13th causes of action is sustained with 20 days leave to amend.

Defendant Clean Recon Corp (“CRC”) (“Moving Defendant”) demurs unopposed to all causes of action alleged in pro per Plaintiff Fredrick Douglas Steen’s (“Steen”) (“Plaintiff”) first amended complaint (“FAC”). (Notice of Demurrer, pg. 2; C.C.P. §§430.10(e)-(f).)

Background

Plaintiff filed his initial Complaint on November 12, 2025, against Moving Defendant and Non-moving Defendant Nationstar Mortgage LLC dba Rushmore Servicing (“Nationstar”) (collectively, “Defendants”) alleging eight causes of action: (1) wrongful foreclosure; (2) violation of Civil Code §§2924, 2924c, 2924f; (3) breach of contract; (4) negligence; (5) breach of the implied covenant of good faith and fair dealing; (6) unfair business practices (Bus. & Prof. Code §17200); (7) declaratory relief; and (8) injunctive relief. Non-moving Defendant demurred to Plaintiff’s complaint, and this Court sustained Nationstar’s demurrer to all causes of action alleged.

Plaintiff filed his operative FAC on March 18, 2026, alleging thirteen causes of action: (1) wrongful foreclosure; (2) violation of Civil Code §§2924, 2924b, 2924c, 2924f; (3) violation of California Homeowner Bill of Rights; (4) violation of Civil Code §2924.17; (5) breach of contract; (6) breach of the implied covenant of good faith and fair dealing; (7) promissory estoppel; (8) negligent loan servicing; (9) unfair business practices (Bus. & Prof. Code §17200); (10) accounting; (11) quiet title; (12) declaratory relief; and (13) injunctive relief.

Moving Defendant filed the instant demurrer on April 17, 2026. As of the date of this hearing no opposition has been filed.

Meet and Confer

Before filing a demurrer, the moving party must meet and confer in person, by telephone, or by video conference with the party who filed the pleading to attempt to reach an agreement that would resolve the objections to the pleading and obviate the need for filing the demurrer. (C.C.P. §430.41, emphasis added.)

Moving Defendant's counsel is admonished for failing to submit a meet and confer declaration in violation of C.C.P. §430.41. However, the failure to sufficiently meet and confer is not grounds to overrule or sustain a demurrer. (C.C.P. §430.41(a)(4).) Accordingly, the Court will consider Moving Defendant's demurrer.

Summary of Demurrer

Moving Defendant demurs to the 1st, 2nd, 3rd, 4th, 5th, 6th, 7th, 8th, 9th, 10th, 11th, 12th, and 13th causes of action alleged in the FAC on the basis they fail to state facts sufficient to constitute causes of action. (Notice of Demurrer, pgs. 1-3; C.C.P. §430.10(e).) Moving Defendant also demurs to the 1st, 2nd, 3rd, 4th, 5th, 6th, 7th, 8th, 9th, 10th, 11th, 12th, and 13th causes of action alleged in the FAC on the basis they are uncertain. (Notice of Demurrer, pgs. 1-3; C.C.P. §430.10(f).)

Legal Standard

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Insurance Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hospital District (1992) 2 Cal.4th 962, 967.)

Failure to State a Claim

Wrongful Foreclosure (1st COA)

"The elements of the tort of wrongful foreclosure are: '(1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale (usually but not always the trustor or mortgagor) was prejudiced or harmed; and (3) in cases where the trustor or

mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering'; and (4) 'no breach of condition or failure of performance existed on the mortgagor's or trustor's part which would have authorized the foreclosure or exercise of the power of sale.'" (Majd v. Bank of America, N.A. (2015) 243 Cal.App.4th 1293, 1306-1307, internal citations omitted.) (But see Turner v. Seterus, Inc. (2018) 27 Cal.App.5th 516, 525 [omitting fourth element].)

Plaintiff alleges that Moving Defendant is a foreclosure trustee involved in recording foreclosure documents concerning the Subject Property. (FAC ¶3.) Plaintiff alleges Defendants initiated foreclosure proceedings without lawful authority. (FAC ¶38.) Plaintiff alleges the Notice of Default contained inaccurate arrearage figures. (FAC ¶39.) Plaintiff alleges Defendants misapplied payments and inflated escrow charges. (FAC ¶40.)

Nonjudicial foreclosures are governed by Civil Code §§2924-2924k, which provide a comprehensive statutory framework for such foreclosures which is intended to be exhaustive. (Moeller v. Lien (1994) 25 Cal.App.4th 822, 830-934.) Pursuant to this framework, the trustee merely "performs ministerial acts which, when properly executed, result in the transfer of title to the purchaser." (Pro Value Properties, Inc. v. Quality Loan Serv. Corp. (2009) 170 Cal.App.4th 579, 583.)

Plaintiff fails to allege facts demonstrating that he tendered the amount of the secured indebtedness or was excused from tendering. If a defaulting borrower requests relief in equity, i.e., setting aside or challenging a foreclosure proceeding, the borrower must first do equity himself by paying the entire loan amount prior to the sale. (See Arnolds Management Corp. v. Eischen (1984) 158 Cal.App.3d 575, 578-579; Humboldt Savings Bank v. McCleverty (1911) 161 Cal. 285, 290-291; Williams v. Koenig (1934) 219 Cal. 656, 660; see also U.S. Cold Storage California v. Great Western Savings & Loan Association (1985) 165 Cal.App.3d 1214, 1222.) The "tender rule" applies to the plaintiff's request to set aside the foreclosure, but also to any causes of action that stem from the wrongful foreclosure allegations or seek redress from foreclosure. (Arnolds Management Corp., 158 Cal.App.3d at pgs. 578-580.) Any cause of action implicitly integrated with allegations of an irregular sale fails unless the trustor can allege and

establish a valid tender. (Id. at pg. 579.)

Accordingly, Moving Defendant's demurrer to 1st cause of action is sustained with 20 days leave to amend.

Violation of
Civil Code §§2924, 2924b, 2924c, 2924f (2nd, 3rd, & 4th COAs)

"The Homeowner Bill of Rights (Civ. Code, § § 2920.5, 2923.4–2923.7, 2924, 2924.9–2924.12, 2924.15, 2924.17–2924.20) (HBOR), effective January 1, 2013, was enacted 'to ensure that, as part of the nonjudicial foreclosure process, borrowers are considered for, and have a meaningful opportunity to obtain, available loss mitigation options, if any, offered by or through the borrower's mortgage servicer, such as loan modifications or other alternatives to foreclosure.' (§ 2923.4, subd. (a).) Among other things, HBOR prohibits 'dual tracking,' which occurs when a bank forecloses on a loan while negotiating with the borrower to avoid foreclosure. (See § 2923.6.) HBOR provides for injunctive relief for statutory violations that occur prior to foreclosure (§ 2924.12, subd. (a)), and monetary damages when the borrower seeks relief for violations after the foreclosure sale has occurred (§ 2924.12, subd. (b))." (Valbuena v. Ocwen Loan Servicing, LLC (2015) 237 Cal.App.4th 1267, 1272.)

Plaintiff's cause of action does not satisfy "the general rule is that statutory

causes of action must be pled with particularity." (Covenant Care, Inc. v. Superior Court (2004) 32 Cal.4th 771, 790; see also Lopez v. Southern California Rapid Transit District (1985) 40 Cal.3d 780, 795 ["[E]very fact material to the existence of [defendant's] statutory liability must be pleaded with particularity".]) Plaintiff's cause of action merely restates the elements of a cause of action under HBOR without specific facts.

Accordingly, Moving Defendant's demurrer to the 2nd, 3rd, and 4th causes of action is sustained with 20 days leave to amend.

Breach of Contract & Breach of Implied Covenant of Good Faith & Fair

Dealing (5th & 6th COAs)

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) plaintiff's performance of the contract or excuse for nonperformance, (3) defendant's breach, and (4) resulting damage to the plaintiff." (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

"The covenant of good faith and fair dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party's right to receive the benefits of the agreement actually made. The covenant thus cannot 'be endowed with an existence independent of its contractual underpinnings.' It cannot impose substantive duties or limits on the contracting parties beyond those incorporated in the specific terms of their agreement." (Guz v. Bechtel National, Inc. (2000) 24 Cal.4th 317, 349-350, internal citations omitted.)

Plaintiff fails to allege his performance of the contract or excuse for non-performance. Plaintiff fails to allege that the Note and the Deed of Trust were executed by Moving Defendant and Plaintiff such that Moving Defendant is in contractual privity with Plaintiff.

Accordingly, Moving Defendant's demurrer to the 5th and 6th causes of action is sustained with 20 days leave to amend.

Promissory Estoppel (7th COA)

"The elements of a promissory estoppel claim are (1) a promise clear and unambiguous in its terms; (2) reliance by the party to whom the promise is made; (3) [the] reliance must be both reasonable and foreseeable; and (4) the party asserting the estoppel must be injured by his reliance." (Aceves v. U.S. Bank, N.A. (2011) 192 Cal.App.4th 218, 225.)

Plaintiff fails to allege what representations were made, when and by whom, nor how relied upon and what damage.

Moving Defendant's demurrer to the 7th cause of action is

sustained with 20 days leave to amend.

Negligent Loan Servicing (8th COA)

“The elements of a cause of action for negligence are well established. They are ‘(a) a legal duty to use due care; (b) a breach of such legal duty; [and] (c) the breach as the proximate or legal cause of the resulting injury.’” (Ladd v. County of San Mateo (1996) 12 Cal.4th 913, 917, internal citation omitted.)

Plaintiff’s cause of action fails because, as alleged, Moving Defendant is not a loan servicer. (FAC

¶3; see Civil Code §2920.5(a).) Courts

have aptly noted in the context of deeds of trust that, “‘Just as a panda is not a true bear, a trustee of a deed of trust is not a true trustee.’

[Citation.]” (Monterey S.P.

Partnership v. W.L. Bangham, Inc. (1989) 49 Cal.3d 454, 462.) Nor do trustees owe a duty of care under a deed of trust. (McCann v. Lucky

Money, Inc. (2005) 129 Cal.App.4th 1382, 1398.) “The scope and nature of the trustee’s duties are exclusively defined by the deed of trust and the governing statutes. No other common law duties exist.” (Kachlon v. Markowitz (2008) 168 Cal.App.4th 316, 335.)

Accordingly, Moving Defendant’s demurrer to 8th cause of action is sustained with 20 days leave to amend.

Unfair Business Practices (Bus. & Prof. Code §§17200 et seq.) (9th COA)

A claim under the California’s Unfair Competition Law, Business & Professions Code §§17200 et seq. (“UCL”), requires the allegation of particular facts showing ongoing unlawful, unfair, or fraudulent business acts on the part of the defendant. (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1143.)

Plaintiff fails to allege facts pertaining to this cause of action and merely states legal conclusions.

Further, in the context of foreclosure cases, plaintiffs lack standing to bring a UCL cause of action when they default on the loan prior to any alleged unfair business practices. (Graham

v. Bank of America, N.A. (2014) 226 Cal.App.4th 594, 614.)

Accordingly, Moving Defendant's demurrer to 9th cause of action is sustained with 20 days leave to amend.

Accounting (10th COA)

For an accounting claim to be available, a litigant must prove two elements: (1) a relationship that requires accounting exists between the plaintiff and the defendant, and (2) that some balance is owed to the plaintiff, which can only be ascertained with an accounting. (Tesselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179.)

Plaintiff fails to allege a relationship that requires accounting exists between the plaintiff and Moving Defendant. Plaintiff merely alleges that Moving Defendant is a foreclosure trustee.

Accordingly, Moving Defendant's demurrer to the 10th cause of action is sustained with 20 days leave to amend.

Quiet Title (11th COA)

A cause of action for quiet title "shall be verified" and shall include all of the following:

(a) A

description of the property that is the subject of the action. In the case of tangible personal property, the description shall include its usual location. In the case of real property, the description shall include both its legal description and its street address or common designation, if any.

(b) The

title of the plaintiff as to which a determination under this chapter is sought and the basis of the title. If the title is based upon adverse possession, the complaint shall allege the specific facts constituting the adverse possession.

(c)

The adverse claims to the title of the plaintiff against which a determination is sought.

(d)

The date as of which the determination is sought. If the determination is sought as of a date other than the date the complaint is filed, the complaint shall include a statement of the reasons why a determination as of that date is sought.

(e)

A prayer for the determination of the title of the plaintiff against the adverse claims.

(C.C.P. §761.020.)

Plaintiff's

FAC is not verified. Plaintiff's FAC also It also

requires a statement of the adverse claims to title, against which a determination is sought, a statement of the date as to which the determination is sought, and a prayer for the determination of the title of Plaintiff against the adverse claims.

Accordingly,

Moving Defendant's demurrer to the 11th cause of action is sustained with 20 days leave to amend.

Declaratory Relief (C.C.P. §1060) (12th COA)

C.C.P. §1060 provides:

Any person interested under a written instrument, excluding a will or a trust, or under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property, or with respect to the location of the natural channel of a watercourse, may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract. He or she may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time. The declaration may be either affirmative or negative in form and effect, and the

declaration shall have the force of a final judgment. The declaration may be had before there has been any breach of the obligation in respect to which said declaration is sought.

(C.C.P. §1060, emphasis added.)

A declaratory relief

claim is subject to demurrer where, as here, it relates to

substantive claims that are invalid as a matter of law. (Ball v. FleetBoston Financial Corp. (2008) 164 Cal.App.4th 794, 800.)

Accordingly,

Moving Defendant's demurrer to the 7th cause of action is sustained with 20 days leave to amend.

Injunctive

Relief (13th COA)

"To qualify for a permanent injunction, the plaintiff must prove (1) the elements of a cause of action involving the wrongful act sought to be enjoined...; and (2) the grounds for equitable relief." (San Diego Unified Port District v. Gallagher (1998) 62 Cal.App.4th 501, 503.) "A complaint for an injunction which alleges only general conclusions, not warranted by any pleading of facts, does not state a cause of action to enjoin the acts complained of." (E.H. Renzel Co. v. Warehousemen's Union I.L.A. 38-44 (1940) 16 Cal.2d 369, 373.)

Plaintiff has not alleged a wrongful act stating a cause of action in this matter, which is required before asserting the remedy of injunctive relief or a temporary restraining order.

Accordingly, Moving Defendant's demurrer to the 13th cause of action is sustained with 20 days leave to amend.

Conclusion

Moving Defendant's unopposed demurrer to the 1st, 2nd, 3rd, 4th, 5th, 6th, 7th, 8th, 9th, 10th, 11th, 12th, and 13th causes of action is sustained with 20 days leave to amend.

Moving Party to give notice.

Dated:

July _____, 2026

Hon. Daniel M. Crowley

Judge of the Superior Court